

RTX CORPORATION

(NYSE: RTX)

The recovery is real — and fully priced

SELL — \$120.00 Target

Equity Research Note · Industrials — Aerospace & Defense · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
SELL	\$120.00	\$184.68	-35.0%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$249 bn (1.35 bn sh × \$184.68)	Full-year guide (raised)	Adj. EPS \$6.10–\$6.25; sales \$86.5–\$87.5 bn
52-week range	~\$156 – \$227	Commercial growth drivers	Pratt GTF shipments +25–30% in FY26; defense book-to-bill 1.2x
Price / fair value	\$184.68 / \$120.00	Tariff drag (est.)	~\$1.0 bn gross impact (mitigated via pricing/supply actions)
Implied downside	–35.0%	Next catalyst	FQ3 FY26 earnings (late October)
Backlog	\$241 bn (company-disclosed)	Sell-side view	Mixed: Buy 12 / Hold 13 / Sell 0
FQ2 FY26 revenue / adj. EPS	\$23.0 bn (+12%) / \$1.78 (+27%)		

1 Investment Thesis

RTX is executing its recovery well — FQ2 2026 beat on revenue (+12% to \$23.0B), adjusted EPS (+27% to \$1.78), and free cash flow, the full-year guide was raised again, and the \$241B backlog is the largest in company history. None of that is in dispute. What is in dispute is whether any of it justifies \$184.68 a share, and our answer is no: the scenario DCF lands at \$120 — bear \$32, base \$126, bull \$190 — with 35% downside even in a base case that assumes demand normalization, a full aftermarket recovery, and defense budgets sustained by the NATO 5% spending pledge. The recovery is real. It is also fully priced.

The core of the SELL is the structure of the cash flows, not the headline growth. Commercial aerospace profits arrive through two channels with very different economics: original-equipment engine sales, which are sold near cost (and sometimes below it) to win the 30-year aftermarket annuity, and aftermarket parts and services, where the margins live. As GTF and other new-engine shipments ramp 25–30% in FY2026, the OE mix drags on reported margins while the aftermarket that would offset it is still normalizing — flight hours have normalized, but shop-visit economics on the newest engine generations take years to mature. Our base case assumes that recovery completes; the valuation still doesn't clear the quote.

Meanwhile the defense side — roughly half the portfolio through Raytheon — grows on budgets, not on moats, and the risks to the downside are structurally underpriced. The GTF powdered-metal issue remains a live execution overhang with fleet-management costs still being recognized; the IAM labor situation is unresolved; a ~\$1.0B gross tariff impact is being 'mitigated' through pricing that customers can only absorb for so long; and the balance sheet carries \$32B of net debt against a \$10.9B pension deficit with interest coverage of 1.8x. In the bear case — protracted aftermarket weakness, defense spending cuts, GTF overhang — fair value is \$32. The bull case (\$190, sustained double-digit aftermarket growth and elevated defense budgets) barely clears the current quote. When the bull case is the price, there is no margin of safety left to buy. SELL.

Why the market will care (eventually)

- **OE mix is the margin story the headline hides.** New-engine shipments ramping 25–30% are sold at thin or negative margins to win decades of aftermarket annuities. The P&L absorbs the dilution now; the payback arrives years later — a timing mismatch the current multiple ignores.
- **The GTF powdered-metal issue is not closed.** Fleet-management costs and shop-visit capacity constraints continue to absorb cash and management attention. Engine programs at this scale do not have clean endings.
- **Defense growth is budget growth.** The NATO 5% pledge and a 1.2x book-to-bill support the bull case — but budgets are political, cyclical, and currently at historic highs. The bear case prices what happens when they normalize.

2 Business Overview — What RTX Corporation Is Doing

(Arlington, Virginia; CEO Chris Calio)

RTX is the world's largest aerospace-and-defense company by revenue, organized in three segments. Collins Aerospace (avionics, interiors, mission systems) is the broadest commercial aftermarket franchise in the industry. Pratt & Whitney builds the Geared Turbofan (GTF) engine family powering the A320neo — the growth engine of the portfolio and its largest execution risk. Raytheon (missiles, air defense including Patriot, radars, space systems) is the defense half, levered to US and allied defense budgets.

The business model is the classic aerospace razor-and-blade: engines and systems are sold at thin margins to secure decades of high-margin aftermarket parts, repairs, and overhauls. That model is currently in its most dilutive phase — record new-engine deliveries depressing near-term margins while the aftermarket annuities they secure mature years later. Collins' aftermarket exposure (roughly two-thirds of its profit) is the highest-quality earnings stream in the portfolio; Raytheon's are the most politically determined.

Capital allocation is straightforward: the dividend and buyback are funded from free cash flow after the pension and debt service. The balance sheet is the constraint — \$32B of net debt and a \$10.9B pension deficit leave limited room for the kind of large capital returns that support the multiple at cyclical peaks.

What the company is doing now

- **Pratt & Whitney GTF: growth engine and overhang.** Shipments up 25–30% in FY2026; the powdered-metal fleet-management issue continues to consume cash and shop capacity. The aftermarket annuity is real — it just matures years after the OE dilution.
- **Collins aftermarket: the quality compounder.** Avionics, interiors, and mission systems with ~2/3 of profit from aftermarket — the most defensible, highest-margin earnings in the company.
- **Raytheon: budget beta.** Patriot, missiles, and radars ride allied rearmament (NATO 5% pledge, 1.2x book-to-bill). Growth is real; the multiple on budget-driven earnings should not be a growth multiple.
- **The installed base is the moat; the cycle is the limit.** Certification barriers and 30-year service relationships lock in the aftermarket — but every one of those annuities was sold during an upcycle, and shop-visit economics are only as good as flight hours.

3 Financial Analysis

	FY2022	FY2023	FY2024	FY2025	FQ2 FY26
Revenue (\$bn)	67.1	68.9	80.7	88.6	23.0
Free cash flow (\$bn)	4.40	4.71	3.92	7.45	1.9
FCF margin	6.6%	6.8%	4.9%	8.4%	—
Backlog (\$bn)	—	—	—	—	241

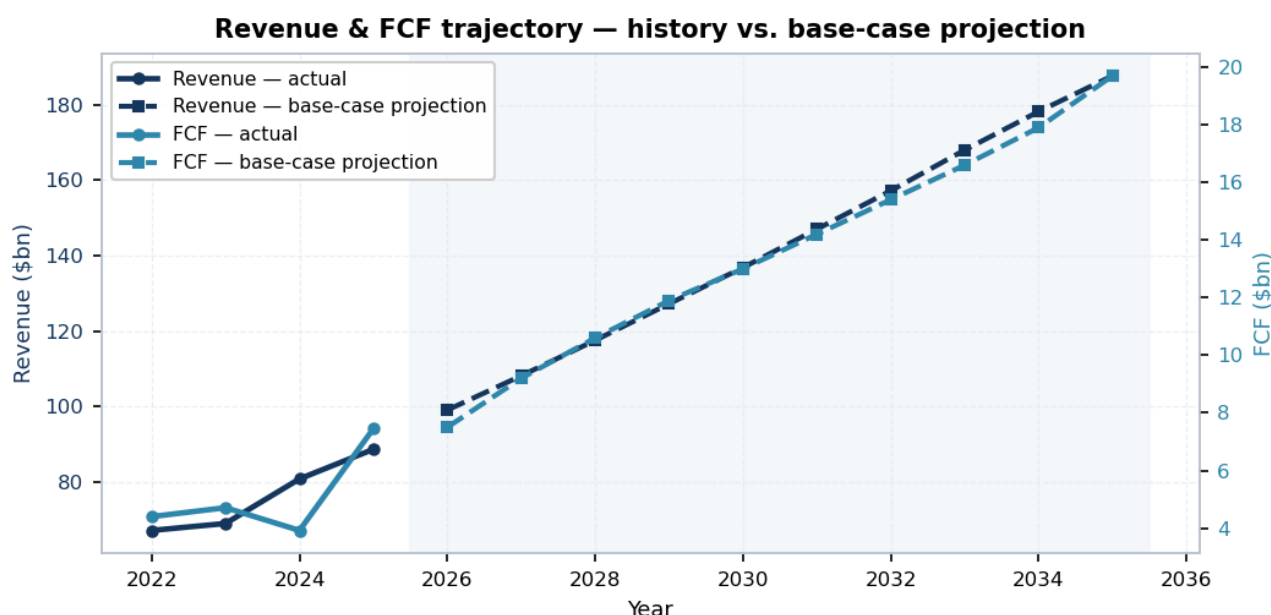
	FY2022	FY2023	FY2024	FY2025	FQ2 FY26
Net debt (\$bn) / pension deficit (\$bn)	—	—	—	32.0 / 10.9	—

Annual figures from company filings via Yahoo Finance (FCF = operating cash flow less capex). FQ2 FY26 and backlog from the July 2026 earnings release. Balance-sheet figures as of mid-2026.

FQ2 2026 was a genuine beat: revenue \$23.0B (+12%), adjusted EPS \$1.78 (+27%), free cash flow \$1.9B, with the full-year guide raised to adjusted EPS of \$6.10–\$6.25 on sales of \$86.5–\$87.5B. Annual revenue has grown from \$67.1B in FY2022 to \$88.6B in FY2025; free cash flow (operating cash flow less capex) reached \$7.45B in FY2025 after dipping to \$3.92B in FY2024 on working-capital and program timing. The trajectory from here is margin-led: our base case expands FCF margins from ~8% toward 10.5% over ten years.

The balance sheet is the quiet constraint on the bull case. Net debt of \$32.0B sits against a \$10.9B pension deficit with interest coverage of just 1.8x — thin for a cyclical industrial at what may be peak defense budgets. Valuation composition reflects the quality of the out-years: terminal value is 58% of base-case enterprise value (\$199.2B), 65% in the bull (\$285.4B), and only 39% in the bear (\$72.4B). More than half the base-case value lives in the terminal year — appropriate for an annuity business, but it means the \$184.68 price is a bet on the perpetuity, not the next three years.

Revenue & cash-flow trajectory



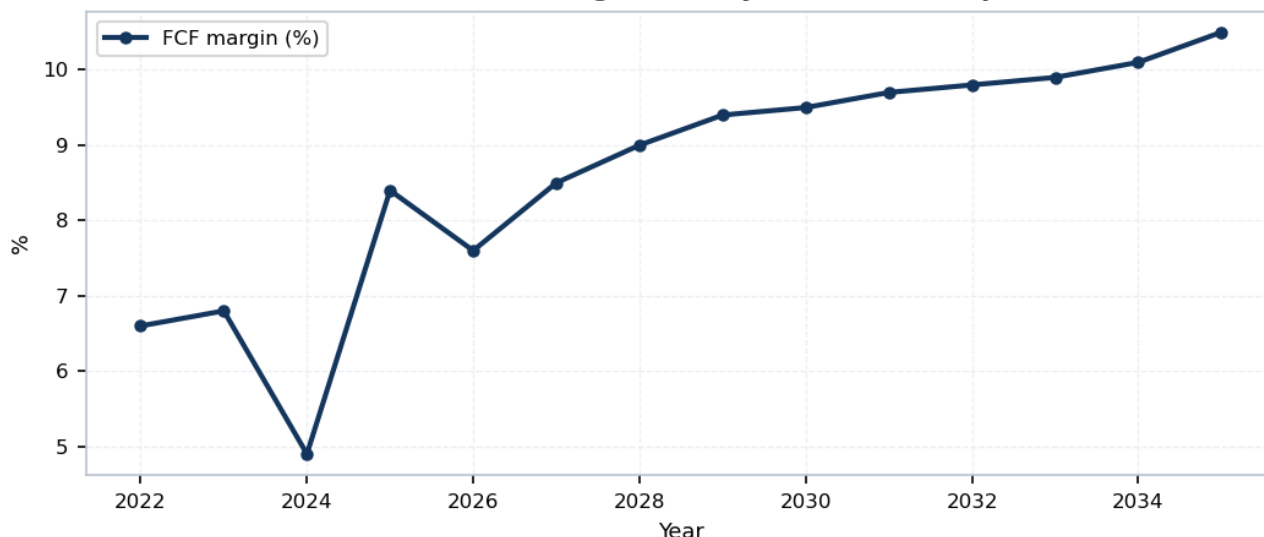
History: company filings via Yahoo Finance (FCF = operating cash flow less capex). Projection: base-case model path — revenue compounding at 5.7% with FCF margins expanding toward 10.5% as the OE mix normalizes and GTF aftermarket matures.

4 Moat & Competition

- **Certification and installed-base lock-in.** Engines and avionics certified on airframes for 30+ years; switching an installed fleet is economically prohibitive. The aftermarket annuity is the moat.
- **Duopoly structures in the key franchises.** GTF/LEAP split the narrowbody engine market; Patriot dominates its air-defense segment. Competitors exist but cannot displace installed positions.
- **Scale in aftermarket services.** The global MRO network and parts distribution create density advantages new entrants cannot replicate quickly.
- **The moat's limits: the mirror duopoly and program risk.** GE/Safran match Pratt engine-for-engine; defense contracts re-compete on politics as much as performance; and single programs (GTF powdered metal) can absorb billions. The moat protects the franchise — it does not protect the multiple.

Free-cash-flow margin: history and base-case path

Free-cash-flow margin: history and base-case path



5 Valuation — 10-year scenario DCF, Fair Value \$120

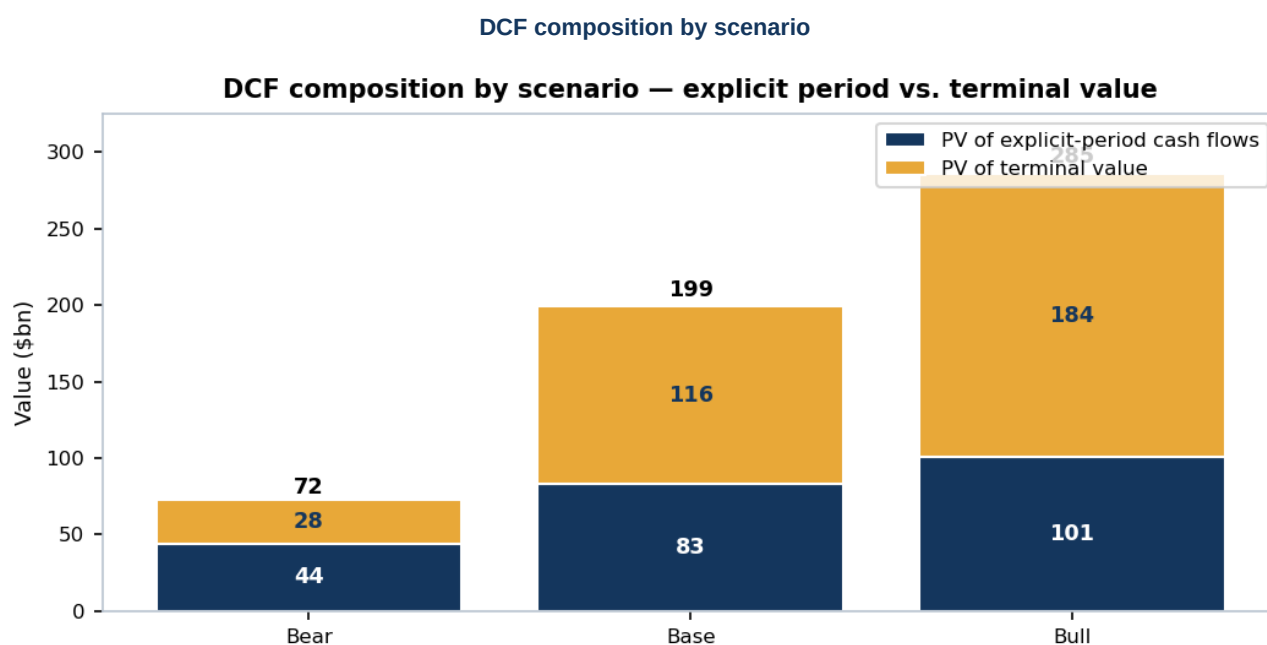
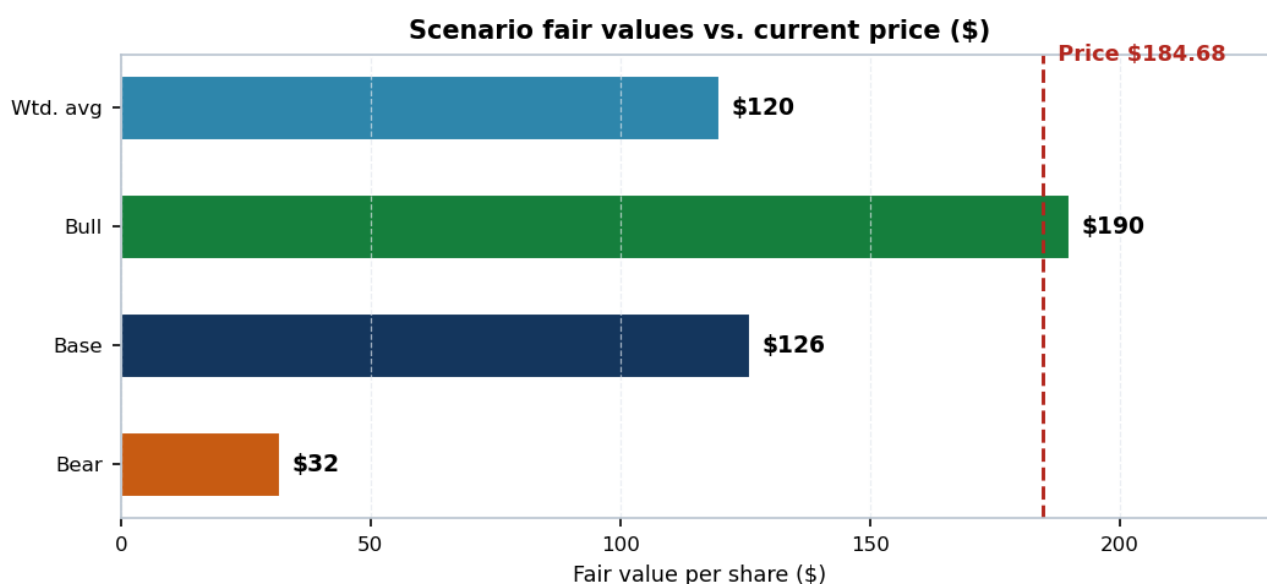
We value RTX on a 10-year scenario discounted-cash-flow framework, weighted 25% / 50% / 25%. Discount rates are scenario-specific — bear 11.5%, base 9%, bull 8% — reflecting a cyclical industrial with defense-budget exposure, program execution risk (GTF), labor overhang, and a levered balance sheet (\$32B net debt, \$10.9B pension deficit, 1.8x interest coverage). Terminal growth is 1.75% in the bear case and 2.5% in the base and bull cases, applied to year-10 free cash flow at normalized margins — never peak margins.

Scenario fair values: \$32.0 (bear — protracted aftermarket weakness, defense spending cuts, GTF overhang; 1.9% revenue CAGR, 7.0% year-10 FCF margins) / \$126.0 (base — demand normalization, aftermarket recovery, sustained defense budgets; 5.7% CAGR, 10.5% margins) / \$190.0 (bull — sustained double-digit aftermarket growth, clean engine ramp, elevated defense budgets; 6.9% CAGR, 11.5% margins). The probability-weighted value is \$118.0; our published target rounds to \$120 — 35.0% below the \$184.68 quote. Terminal value is 58% of base-case EV: more than half the value sits in the perpetuity, which is exactly what the current price is paying for.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Protracted aftermarket weakness; defense spending cuts after the rearmament surge; GTF overhang larger than reserved; 1.9% revenue CAGR; 7.0% year-10 FCF margin.	+1.9%	7.0%	11.5% / 1.8%	39%	\$32.00
Base	Demand normalization completes; aftermarket fully recovered; commercial OE deliveries grow; defense budgets sustained; 5.7% revenue CAGR; 10.5% year-10 FCF margin.	+5.7%	10.5%	9.0% / 2.5%	58%	\$126.00
Bull	Sustained double-digit aftermarket growth; clean engine production ramp; defense budgets elevated on NATO pledge; 6.9% revenue CAGR; 11.5% year-10 FCF margin.	+6.9%	11.5%	8.0% / 2.5%	65%	\$190.00
Wtd. avg	Probability-weighted (25/50/25) → \$120.00 target					\$120.00

Composition PVs reconcile to the model's enterprise values (\$72.4B / \$199.2B / \$285.4B) via the stated terminal-value shares (39.2% / 58.3% / 64.6%).

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Commercial cycle (High).** Aftermarket profits track flight hours and shop visits; a demand downturn hits the highest-margin earnings first while OE commitments continue.
- **GTF program execution (High).** The powdered-metal fleet-management issue continues to absorb cash and shop capacity; further findings would extend the overhang.
- **Defense budget normalization (Medium-High).** Roughly half the portfolio grows on budgets at historic highs; the NATO 5% pledge is political, not contracted.
- **Labor (Medium).** The IAM situation is unresolved; aerospace labor actions have historically cost quarters of delivery and margin.

- **Tariffs and supply chain (Medium).** ~\$1.0B gross tariff impact being mitigated through pricing — absorption capacity is finite, and rare-earth/export-control exposure sits in missile components.
- **Balance sheet (Medium).** \$32B net debt, \$10.9B pension deficit, 1.8x interest coverage — thin for a cyclical at potential peak budgets; limits capital returns that support the multiple.

What would change our mind

We would revisit the SELL if, over several consecutive quarters: book-to-bill holds above 1.0 in both commercial and defense, segment margins expand (evidence the OE mix drag is abating), management confirms the 2026 free-cash-flow outlook, GTF aftermarket profitability normalizes with the fleet-management issue demonstrably behind, no material labor disruption occurs, and geopolitical developments continue to support defense budgets. That combination is the bull case (\$190), and it would have to arrive together — a single strong quarter on backlog conversion alone does not change the valuation math. We watch: book-to-bill by segment, OE vs. aftermarket margin mix, GTF shop-visit economics, labor negotiations, and defense appropriations.

7 Methodology

We value RTX on a 10-year scenario discounted-cash-flow framework. Revenue compounds from the current base under scenario-specific CAGRs (1.9% bear, 5.7% base, 6.9% bull); free-cash-flow margins glide from current levels to scenario terminal margins (7.0% / 10.5% / 11.5%) as the OE mix normalizes and aftermarket matures. Scenarios are probability-weighted 25% / 50% / 25%.

Discount rates are scenario-specific — 11.5% bear, 9% base, 8% bull — and terminal growth is 1.75% (bear) / 2.5% (base, bull), applied to year-10 free cash flow at normalized margins. The bear case is required to be genuinely adverse and to sit below the current price; terminal value exceeding 70% of enterprise value is haircut and disclosed (58% base, 65% bull, 39% bear — no haircut required). We cross-check against trough-cycle earnings multiples.

The published target is the probability-weighted fair value rounded to a round number (\$118.0 → \$120), stated as a 12-month horizon reference. Risk ratings (Low / Medium / Medium-High / High) combine business volatility, balance-sheet strength, and valuation; Medium here reflects the annuity-like installed base against cyclical, budget-driven, and program-concentrated earnings.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.